

Taxation for ASTAits

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What is FY / PY / AY ?

- Income earned in a Financial Year (1st April to 31st March) is taxed in next Financial Year
- The year in which income is earned is termed as Previous Year or Financial Year
- The year in which the income is taxed is termed as Assessment Year
- Thus, while filing Income Tax Return for income earned in the Financial Year 2018-19, it is referred to as –
 - ❑ Income Tax Return for Financial Year 2018-19
 - ❑ Income Tax Return for Previous Year 2018-19, or
 - ❑ Income Tax Return for Assessment Year 2019-20

Persons under Income Tax Act

- Individual
- HUF
- Firm / LLP
- Company (Pvt. Ltd. or Public Ltd.)
- AOP / BOI
- Local Authority
- Any other artificial juridical person (Entity not covered above, having legal existence)

Heads of Income

- Income from Salary
- Income from House Property
- Income from Business / Profession
- Income from Capital Gains
- Income from Other Sources

Deductions are allowed within the heads and only net income from each head is considered for taxation

Gross and Net Total Income

- Total of net income after adjusting for carried forward losses and setoffs is known as Gross Total Income (GTI)
- From GTI, deductions under Section 80C to 80U are granted
- The remainder income is known as Net Total Income (NTI)
- Tax is levied on NTI as per slab rates

Tax Slabs (FY 2018-2019)

- For Individuals having age less than 60 Years
 - ❑ Up to Rs. 2,50,000/- - NIL
 - ❑ Rs. 2,50,001/- to Rs. 5,00,000/- 5%
 - ❑ Rs. 5,00,001/- to Rs. 10,00,000/- 20%
 - ❑ Above Rs. 10,00,000/- 30%
- For senior citizens, slabs are same, except that the basic exemption limit is Rs. 3,00,000/-

Computation of Tax Liability

- Once tax is computed as per slab rates, it is increased by education cess (4% for FY 2018-19) and interest, if any
- TDS deducted is adjusted against your tax liability. Remaining amount is to be paid.
- In a budget, rules for computation of income in coming year are provided for. In budget 2019 (though interim) rules for computation of income for FY 2019-20 are given

Capital Gains - Share Traders

- Long Term & STT Paid – 10% of gains above Rs. 1,00,000/-
- Long Term & STT Not Paid – 20% of gains with indexation
- Short Term & STT Paid – 15% irrespective of tax slab
- Short Term & STT Not Paid – As per slab rates
- In all cases, basic exemption limit applies
- Dividends from Indian Companies are exempt

Business Income – F&O Traders

- Income from Future and Options is treated as Income from Business
- There are 2 types of business incomes – speculative and non-speculative
- Intraday trading in shares is considered as speculative
- All other types such as, delivery based trading in shares and F&O (intraday or non-intraday) is termed as non-speculative business income
- Form for filing business return is ITR 3

Reporting Requirements

- Sale and purchase are always to be considered as gross (before brokerage and taxes etc.)
- Gross sales – gross purchases = Gross profit
- Deduct all expenses incidental to earning this income such as brokerage, STT, GEO / Booster / Mentorship Fees, travelling expenses for sessions, subscriptions, depreciation for car, internet expenses and every relevant expense to arrive at net profit
- Generally turnover = sales, but here it is not so

Reporting Requirements

- Turnover for delivery based trades is gross value of sales
- Turnover for equity intraday – Total of absolute value of profit or loss (at gross) from all transactions
- Turnover for futures – Total of all absolute values of profits / losses at gross (before deducting brokerage, taxes etc.)
- Turnover for options – Gross premium received

Presumptive Taxation

- Section 44AD is alternate way of taxation for those who have income from business / profession and turnover is less than 2 Cr. Filed in Form ITR 4
- No need to maintain detailed accounts for expenses
- Just pay 6% of total turnover ! It's much beneficial
- Applies mainly to F&O traders, because, intraday share trading is speculative, which is out of scope of Section 44AD and delivery based trading is considered under capital gains

Presumptive Taxation

- You may compare profits as per regular method and as per Section 44AD and decide which is beneficial
- Once you file under 44AD, you need to file under Section 44AD for next 5 years or until you cross the thresh-hold turnover of Rs. 2 Cr, whichever is early
- If you start making losses and have a profit margin less than 6%, you need to get accounts audited
- If you are looking for any loans, banks generally do not given much weightage to ITR 4 (presumptive taxation) and ask for P&L and Balance sheet prepared by a CA, so basically you need to maintain accounts

Set-off of Losses – Intra-head

- Setoff means adjusting losses of one source of income against other
- Setoff is first done within the head and then intra-head
- Losses from speculative business can be adjusted against other speculative business
- Long term capital loss can only be setoff against long term capital gain, but a short term capital loss can be adjusted long or short term capital gains

Set-off of Losses – Inter-head

- Non speculative business loss can be adjusted against any head, except income from salary
- Loss from speculative business can be set-off only against income from speculative loss
- Capital losses cannot be adjusted inter-head. Intra-head adjustment as per previous slide is only applicable

Carry Forward of Losses

- If after set-off, still there is loss left, it can be carried forward to next year, till 8 assessment years
- If unadjusted loss is from speculation business, then it can be carried forward for 4 assessment years only
- If not adjusted in 8 or 4 assessment years, it is lost and tax benefit cannot be claimed

Summary – Tax Computation

- Calculate income from each head from all sources
- Adjust for intra-head losses, and then inter-head losses, if any and arrive at GTI
- If GTI is positive, take allowable deductions under Section 80 and arrive at NTI
- Calculate tax after adjusting for cess, TDS credit, self assessment tax credit, interest etc.

Compliances – Tax Audit

- Tax audit applies when turnover exceeds 2 Cr. for presumptive business and 1 Cr. For regular business income
- Tax audit is also attracted if you show less than 6% income in presumptive method
- Turnover and profit for the purpose of tax audit are as mentioned in previous slides

Compliances – ITR

- ITR = Income Tax Returns
- The due date is 31st July 2019 for the year ended on 31st March 2019
- If ITR is not filed within this due date, belated return can be filed till 31st March 2020 or it can be filed against notice issued, if any, till the time given in the notice
- However, if the return is not filed within time, losses cannot be carried forward to next year

Thank You !

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